CHAPTER 4

BROADENING AND DEEPENING MARKETS

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As we gained confidence that the volatility engendered by the 'Taper Tantrum' in summer 2013 would not re-emerge, we could focus on broadening and deepening our debt, derivatives, and exchange markets. Once again, liberal economists wanted a 'big bang' removal of all constraints on market participation. This was all very well in an economy that had well-functioning institutions such as a bankruptcy procedure, so that those who took excessive risks would get their just deserts. In an economy where such institutions were in the process of being developed, a 'big bang' reform entailed uncertain benefits and likely costs. I preferred to follow the RBI's traditional course of steady liberalization, only asking questions of my colleagues continually of what the rationale behind rules were, and urging them to up the pace of change.

In these reforms, Deputy Governor H.R. Khan was a pillar of strength, both with his intimate knowledge of the markets, and with his determination that the RBI needed to liberalize steadily. Executive Directors like G. Padmanabhan, Chandan Sinha, G. Mahalingam, Rajeshwar Rao, and R. Kanungo provided strong support. A speech to the Foreign Exchange Dealers Association of India (FEDAI) on 26 August 2016 summarizes our thinking and what we did.

Strengthening Our Debt Markets